

ENGLISH **LIVE**

23

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 23

27th February, 2017

What women want

What women want

Financial inclusion for women requires innovative credit assessment and breaking away from stereotypes

After the initial announcement that the Bharatiya Mahila Bank would participate in the mega-merger of State Bank of India and its subsidiaries, the fate of this bank is now in limbo, with the Cabinet undecided on its merger. The reason for this flip-flop is unknown. But it is clear that the bank, launched just three years ago to promote women's empowerment and financial inclusion, is still a long way from attaining its lofty objectives. With just 100 branches and a business of ₹1548 crore (March 2016), its operations are nascent.

That the cause of financial inclusion and economic empowerment for women in India needs urgent policy intervention is brought home by several statistics. The World Economic Forum's 2016 Gender Gap Report ranked India a lowly 136 out of 144 countries in terms of economic participation and opportunities for women. Official statistics suggest that, even after a brisk pace of account openings under the Pradhan Mantri Jan Dhan Yojana, fewer Indian women (61 per cent in 2015) own bank accounts than men. Research studies show that women-run small and medium enterprises face great difficulty in accessing formal credit, and if they do, are forced to fork out higher interest rates than male-run firms. If women in business and lower-income brackets face out-and-out discrimination, affluent ones have to make do with sub-optimal products from financial services firms due to stereotyping. Banks vending 'special' women's savings accounts and credit cards seem to think that discounts on apparel, cosmetics and spa treatments, with the odd 'well-woman' check-up thrown in, is all that is needed to customise their offerings for women. Even Bharatiya Mahila Bank's initial suite of loan products for women focussed mainly on kitchen renovations, beauty parlours, daycare centres and catering services. All this runs contrary to the experience that women borrowers tend to be more disciplined with savings and timely with loan repayments. This is indeed why much of the lending by microfinance institutions and self-help groups is deliberately targeted at women of the household. If women face high barriers to bank finance despite this, it can be attributed not just to gender bias, but also to their lack of access to collateral (property titles are mostly held by male members) and financial literacy constraints. On these counts, financial institutions and policymakers need to do far more than engage women employees. They need to drive financial literacy among women borrowers and explore innovative means to assess their creditworthiness in the absence of collateral. Digital footprints and transaction data mined by new-age alternative credit scoring platforms can be of great help to assess repayment ability, and banks must leverage these for innovative alternatives such as flow-based lending.

Overall, women face different financial challenges from men and have unique financial planning needs. It is time both policymakers and financial services firms tried to understand the financial needs of women through serious grassroots research, instead of relying on stereotypes to bridge the gender divide in finance.



DISCUSSION ON
27th Feb (Today)



DISCUSSION ON
28th Feb (tomorrow)

THE HINDU
BusinessLine

22nd February 2017

Sensible Humility From a Unicorn

Snapdeal is right to attempt a course correction

Snapdeal has done itself and the entire startup ecosystem a big favour by admitting overreach and taking decisive action to downsize. Companies that are given oodles of capital and a variable burn rate rather than a target rate of return within a reasonable time horizon run the risk of not knowing when to take the foot off the pedal, slow down and change course. It is welcome that Snapdeal has extricated itself from a spending spree that was not taking it anywhere in particular.

It is to be hoped that other Indian startups, too, would learn similar lessons and emerge from the delusion that subsidising customers in the name of customer acquisition will take them to business nirvana. It is a lesson, too, for investors who take the 'spray and pray' approach to investing in startups. Should we commend the founders for their decision to take a 100% pay cut? Well, it is a token of empathy for the staff losing their jobs or in line for a serious drop in their salary. It is a welcome show of decency.



What about the 600 or so employees who would reportedly have to go? Joining a startup is always a risk, for which you expect to receive a premium in cash and/or kind: you get high salaries and/or experience of a kind that you would not in an established company. Presumably, those who joined

the startup came in with their eyes wide open. They would leave richer for their experience, if not for high salaries. Even if a particular e-commerce company is not expanding fast, the industry in general would, particularly if the government goes ahead with the reported relaxation of investment conditionality, and should be able to absorb experienced hands.

It is important that investors and customers do not draw the extreme conclusions about either Snapdeal or Indian startups in general. India has enormous potential in wide-ranging commercial possibilities waiting to be explored and developed. That would call for large doses of risk capital. How much is needed in any particular line of activity and how much would lead to excess is something that investors need to have a sense about.

THE ECONOMIC TIMES

24th February 2017

What women want

Financial inclusion for women requires innovative credit assessment and breaking away from stereotypes

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What Women Want?

THE 96th BHNDU
Business Line
 22nd February 2017

What women want

- Financial inclusion for women requires **innovative** credit assessment and breaking away from **stereotypes**
- After the initial announcement that the Bharatiya Mahila Bank would participate in the mega-merger of State Bank of India and its subsidiaries, the **fate** of this bank is now **in limbo**, with the Cabinet undecided on its merger. The reason for this **flip-flop** is unknown.
- But it is clear that the bank, launched just three years ago to promote women's empowerment and **financial inclusion**, is still **a long way** from attaining its **lofty** objectives. With just 100 branches and a business of Rs.1,548 crore (March 2016), its operations are **nascent**.
- That the cause of financial inclusion and economic **empowerment** for women in India needs urgent policy intervention is brought home by several statistics. The World Economic Forum's 2016 *Gender Gap Report* ranked India a lowly 136 out of 144 countries in terms of economic participation and opportunities for women. Official statistics suggest that, even after a **brisk** pace of account openings under the Pradhan Mantri Jan Dhan Yojana, fewer Indian women (61 per cent in 2015) own bank accounts than men. Research studies show that women-run small and medium enterprises face great difficulty in accessing formal credit, and if they do, are forced to **fork out** higher interest rates than male-run firms.
- If women in business and lower-income brackets face **out-and-out discrimination**, affluent ones have to make do with **sub-optimal** products from financial services firms due to stereotyping. Banks vending 'special' women's savings accounts and credit cards seem to think that discounts on apparel, cosmetics and spa treatments, with the odd 'well-woman' check-up thrown in, is all that is needed to **customise** their offerings for women. Even Bharatiya Mahila Bank's initial suite of loan products for women focussed mainly on kitchen renovations, beauty parlours, daycare centres and catering services. All this runs **contrary** to the experience that women borrowers tend to be more disciplined with savings and timely with loan repayments.
- This is indeed why much of the lending by microfinance institutions and self-help groups is deliberately targeted at women of the household. If women face high barriers to bank finance **despite** this, it can be attributed not just to gender bias, but also to their lack of access to **collateral** (property titles are mostly held by male members) and financial literacy **constraints**. On these counts, financial institutions and policymakers need to do far more than engage women employees. They need to drive financial literacy among women borrowers and explore innovative means to assess their credit-worthiness in the absence of collateral. Digital footprints and transaction data mined by new-age alternative credit scoring platforms can be of great help to assess repayment ability, and banks must **leverage** these for innovative alternatives such as flow-based lending.
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What women want



LEARNING / SPACE

...Transforming Human Lives

Financial inclusion for women requires **innovative** credit assessment

and breaking away from **stereotypes**



LEARNING / SPACE

...Transforming Human Lives

Innovation

*The software sector has to face several challenges and the need of the hour is **innovation***



Innovation

A new idea, product, design etc.

Stereotype

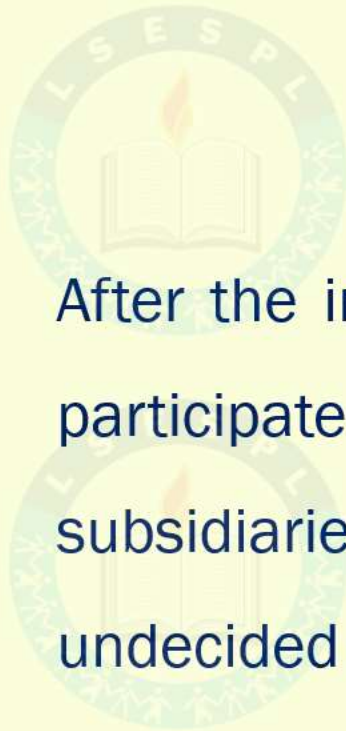
*It is not fair to **stereotype** a whole group of people based on the attitude of one person*



Stereotype

Something confirming to a fixed / general pattern

What women want



LEARNING / SPACE

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Fate



*His **fate** is now
in the hands of
the jury.*



***Fate** has
brought them
together.*



*It is always their
fate to be left
behind.*

In limbo

*After coming out of colleges, most of the youth are **in limbo** for a while, trying to decide what to do next.*



In limbo

In a situation, one does not know what will happen / when something will happen

Flip-flop

*Government stated that the aim of demonetisation is to control corruption. But, the focus is now shifted towards digital transactions. This **flip-flop** is not understandable.*



Flip-flop

It is a situation, when someone completely changes a plan / sudden change of opinion

What women want



LEARNING SPACE

But it is clear that the bank, launched just three years ago to promote women's empowerment and **financial inclusion**, is still **a long way** from attaining its **lofty** objectives. With just 100 branches and a business of Rs.1,548 crore (March 2016), its operations are **nascent**.

FINANCIAL INCLUSION



Access to basic formal financial services which include **savings, remittances, credit, Govt. supported insurance and pension products** to small and **marginal farmers and low income households** at reasonable cost supplemented by **social cash transfers**.



**Pradhan Mantri
Jeevan Jyoti Bima Yojana**

**Pradhan Mantri
Suraksha Bima Yojana**

A long way to go

*It is **a long way to go** to bring Indian education to the global standards.*



A long way to go

A lot of work to do

Lofty

*Asset reconstruction companies were established with **lofty** objective of solving the problem of bad loans.*



Lofty

High / Extending high in the air / Towering

Nascent

Corporate debt market in
our country is at its
nascent stage.



Nascent

Only recently formed / started / beginning to evolve

What women want

That the cause of financial inclusion and economic **empowerment** for women in India needs urgent policy intervention is brought home by several statistics. The World Economic Forum's 2016 *Gender Gap Report* ranked India a lowly 136 out of 144 countries in terms of economic participation and opportunities for women. Official statistics suggest that, even after a **brisk** pace of account openings under the Pradhan Mantri Jan Dhan Yojana, fewer Indian women (61 per cent in 2015) own bank accounts than men. Research studies show that women-run small and medium enterprises face great difficulty in accessing formal credit, and if they do, are forced to **fork out** higher interest rates than male-run firms.

Empowerment

Bank loans to Self Help Groups in our country resulted in **empowerment** of women.



Self Help Groups



73rd & 74th Amendments to the Constitution **empowered** Panchayati Raj Institutions in our country.

Empowerment

The process of giving people / organization more freedom / rights / official authority / legal power

Brisk



Brisk walk is causative factor
for healthy and long life.

Brisk



Several mobile companies
are doing **brisk** business
in developing countries.

Brisk

Lot of activity

Fork out

*As city buses are on strike, I had to **fork out** extra Rs. 20/- for my journey from city center to Adityanagar.*



Fork out

To pay a large amount of money, especially unwillingly

What women want

If women in business and lower-income brackets face **out-and-out discrimination**, affluent ones have to make do with **sub-optimal** products from financial services firms due to stereotyping. Banks vending 'special' women's savings accounts and credit cards seem to think that discounts on apparel, cosmetics and spa treatments, with the odd 'well-woman' check-up thrown in, is all that is needed to **customise** their offerings for women. Even Bharatiya Mahila Bank's initial suite of loan products for women focussed mainly on kitchen renovations, beauty parlours, daycare centres and catering services. All this runs **contrary** to the experience that women borrowers tend to be more disciplined with savings and timely with loan repayments.

Out and Out

*He is known for **out and out** lies and I can tell this with confidence because I have interaction with him for the past fifteen years.*



Out and out

Emphasis on unpleasant quality of a person / thing and in every possible way which is bad

Discrimination

*In general, there is racial
discrimination exists in
USA.*



Discrimination

Making a decision in favour of a person/thing based on group, class, category rather than on individual merit

Optimal

*Indian software sector
should look for **optimal**
solutions to come out of
the downturn.*



Optimal

The best or most effective possible in a particular situation

FORMAL SECTOR LOANS AND INFORMAL SECTOR LOANS

INFORMAL SECTOR LOANS



MONEY LENDERS



TRADERS



FRIENDS

BANKS

**State Bank of India**

THE BANKER TO EVERY INDIAN

**बैंक ऑफ़ बड़ौदा**
Bank of Baroda*India's International Bank***ICICI Bank**

CO-OPERATIVE BANKS

**The Andhra Pradesh State
Co-operative Bank Limited**
A Government Partnered Scheduled Bank**GSC
BANK****ABHYUDAYA**
CO-OPERATIVE BANK LTD.**(MULTI - STATE SCHEDULED BANK)**

TEXTILES



APPAREL





Customised

*The software companies which
can develop **customised**
software can only survive in
the long run.*



Infosys®



Customised

to make or change something according to the buyer's or
user's needs

Contrary

He is very poor in studies during his college days.

Contrary to all our expectations, he found a well paid job in Microsoft.



Contrary

opposite

What women want

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Despite

*The excursion by the school students proved out to be an enjoyable affair **despite** heat wave conditions.*



Despite

Not influenced by something

COLLATERAL



- LENDER
- CREDITOR



- BORROWER
- DEBTOR

COLLATERAL

This is the security given by the borrower while taking the loan (.)

Constraint

*Because of the **constraints** in bringing more and more people under the TaxNet, the Government is not able to increase public expenditure.*



Constraint

Something that acts as a control to keep you within particular limit

Financial literacy



Leverage

*The organisation can reach greater heights, if it makes **leverage** of its resources.*



Leverage

To use an available resource, in order to achieve something better

What women want

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Unique

*Each and every human being has got **unique** genetic code except incase of identical twins.*



Unique

Existing as one of its type

Grassroots

*To put the telecom organisation BSNL on track, organisational change needs to come from the **grassroots** level.*



Grassroots

Common men / ordinary people in a society / organisation

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DISCUSSION ON

28th Feb (tomorrow)

THE ECONOMIC TIMES

24th February 2017